

THIS ISSUE TRAINS · UNDERSTANDING WHAT HAPPENS WHEN BUYERS HAVE NO CHOICE

Money and markets

SpaceX joined the Nasdaq 100 index on July 7, 2026, just weeks after its record breaking IPO. When a stock enters a major index, every fund that tracks that index must buy it, regardless of whether the fund manager thinks the price is right. Analysts estimated up to USD 10 billion in forced passive buying flowed into SpaceX shares on a single day.

The price moved not because new information appeared about the company, but because the rules of index membership created buyers who had no choice. The stock they were buying did not change. The obligation to buy it did.

The SCD takeaway: not all buying is a vote of confidence. Some buying is a rule being followed. Knowing which one you are watching changes how you read a price move.

Sources: CNBC, July 7, 2026; TheStreet, July 1, 2026.

Engineering corner

Self driving cars are now a common sight in San Francisco. Waymo's autonomous vehicles have been operating commercially in San Francisco since 2023, and by 2026 they are a routine part of the city's traffic. The engineering is not one breakthrough but thousands of small ones: lidar sensors that build a 3D map of the surroundings 10 times per second, machine learning models trained on millions of miles of real driving data, and redundant systems so that no single sensor failure causes a crash. The cars do not drive better than the best human drivers. They drive more consistently than the average one, which turns out to matter more.

The SCD takeaway: consistency beats peak performance in any system where the cost of a single failure is high. Designing for the average case, not the best case, is where safety lives.

Source: IMechE, January 7, 2026.

Your move

Forced action and consistent performance are the same idea wearing different clothes. In finance, an index fund buys because a rule says it must, removing human judgment. In engineering, an autonomous vehicle follows its training every time, removing human inconsistency. Both systems gain reliability by removing choice.

This week, on your own: think of one decision you make every day where you sometimes perform well and sometimes poorly (when to start homework, how much to eat, when to sleep). Design a simple rule that removes the decision entirely and follow it for one week. Note what changes.